

cooling-off period before issuing a fresh loan. The bank has also set up a data analytics team, hiring dozens of graduates from IIMs and IITs. It has also created a separate recovery team to focus on SMA (special mention account, that shows sign of stress) borrowers to prevent them from slipping into further delinquency and to recover any existing slippages. The bank has a comprehensive strategy to optimise risk management with customer-centric growth. "This approach leverages data science, analytics, and a deep understanding of customer behaviour to drive growth-oriented decision-making," says Babbar.

Bandhan is also focussing on improving branch productivity. "Some existing branches will now migrate to larger spaces or be upgraded to full-service branches. There could be separate counters for gold loans, loans, current accounts, etc.," says Kesh.

The bank can provide current account customers with products like trade finance, POS solutions, and CMS capabilities. It is also planning to create targeted value propositions for its savings account customers. This is expected to attract more customers to savings accounts. "It's clearly a liability-first approach, which basically means that if advances are growing by 18%, we want deposits to grow much faster, upwards of 20-21%. The quality of the deposits also improves. So, what will happen is the cost of funds will come down, which improves the NIM (net interest margin)," says Mantri.

THE WAY AHEAD

Investors are, however, concerned about the extent to which the bank's business mix will change, as NIM will be impacted with secured advances. Historically, the bank has had higher RoA and NIM due to the



"The diversification strategy is prudent but requires careful implementation to leverage Bandhan's microfinance expertise while expanding sustainably"

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CEO, BIGUL



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HEAD OF RESEARCH, ASIT
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dominant share of the microfinance business. Its NIM for FY24 was 7.3%, which is very healthy compared to 4% for universal banks. "We will continue to grow the microfinance business, but we will grow the secured portion of the book faster. So, both segments will grow, but the mix will keep changing," says Mantri. "We believe the biggest challenge the bank would face for a few quarters will be to find a balance between maintaining high growth and improved asset quality and not of human resources," says Siddarth Bhamre, Head of Research at Asit C Mehta Investment Intermediates.

Mantri explains that what will offset the pressure on margins are lower slippages in the post-Covid book, better credit quality due to tightened credit standards, lower NPAs in the secured book, and lower cost of funds via CASA initiatives. "We are investing primarily in people, technology building capabilities, and our branches. While the cost-income ratio may remain at similar levels next year, we will start seeing the efficiencies and benefits of scale," he says.

While Ghosh has prepared a strategy before he steps down, the challenge lies with the relatively new team at the helm. Most senior management members have been in their positions for less than two years. "Exits are typical during transitions," says Parakh of Bigul. In a private bank that serves the underserved and unbanked and is emerging from a challenging phase, the situation becomes even more daunting. "The current team at Bandhan Bank is fairly new but has vast, diverse, and relevant experience in the banking industry," says Bhamre.

The spotlight is now on the new MD & CEO to steer ahead Bandhan Bank 2.0. **BT**

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